



Side By Side Comparison Table Invoice Discounting vs Non-Recourse Factoring

Feature	Non-Recourse Invoice Factoring	Invoice Discounting
Credit Control Included?	Yes – Credit control Included – Sales ledger is managed	No – Retain customer collections – Manage customer relationships
Is It Confidential?	No – Some lenders may offer white label or confidential	Yes – Facility is confidential and not disclosed to Your customers-few offer in the US-ABL Facility the
Who Sends the Invoice?	You Continue To Invoice Your Clients As Normal	You Continue To Invoice Your Clients As Normal
What % of Invoice can be Advanced?	50-90% Standard	50-90% Standard
Can You Add Bad Debt Protection?	Included	Yes, with Additional Fees
How Quick Can I access Funds?	Same Day With Invoice Verification	Usually within 1-2 days of uploading new ledger
What Is the Minimum Turnover?	None	\$2,000,000/year
Suitable for Start-Ups or Losing Money?	Yes	No, for Credit Worthy Owners & Company
Can You Fund a Single Invoice?	Yes	No
Can You Fund Overseas Invoices?	Yes, if Strong Account Debtor	Yes
Which Is the Most Expensive?	Factoring is usually more expensive, as the factor is providing credit control	Discounting is usually less expensive as it does not include credit control
Can It Be Used with Consumer Invoices?	No, they must be B2B or B2G	No, they must be B2B or B2G
Advantages	Includes Credit Control Help Reduce Late Payments Suitable For New Start Ups Suitable For Bad Credit Long Term Cashflow Solution	Maintain Own Credit Control Confidential Suitable For Large Invoice Volume Suitable For Low Value Invoices Long Term Cash Flow
Disadvantages	Disclosed To Customers Invoices Require Verification Some Admin required May Need To Provide Evidence	Stricter Acceptance Criteria No Credit Control Included Daily or Weekly Upload of Invoices May Need To Provide Evidence
For Companies In Bankruptcy?	Yes	Yes Although Factoring may be preferred or mandatory with some banks & lenders